JÖNKÖPING UNIVERSITY
Jönköping International Business School

Sub-module 5: Marketing and Supply Chain for Managers Negotiations

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Readings

Larsson (2020) “Negotiations – an introduction, uploaded on Canvas

For additional information see the clip Negotiations in Long-term relationships (link on Canvas)

Negotiations?

- If two people must agree upon a common decision there will be a negotiation
- It is a process aimed at fulfilling needs
- A successful negotiation has two satisfied parts
- Both should feel like winners
- A skilled negotiator surface the needs of the counterpart and explain own needs

Distributive negotiations

Also called win-lose negotiations (Raiffa, 2002; Thompson, 2012)

Assumes that there is a fixed pie to be divided between the negotiating parties.

Integrative negotiations

Also called win-win negotiations (Raiffa, 2002; Thompson, 2012)

Assumes that there is no fixed pie to divide, i.e. expanding the pie.

Research shows that this scenario is less likely in intercultural negotiations (Brett & Okumura, 1998)

A successful negotiator

is a person that can surface the needs of the counterpart while explaining own needs

The negotiation process

- Preparations phase
- Greeting phase
- Introduction phase
- Argumentation phase
- Compromise phase
- Closure phase
- Realization phase

Preparations

- Gather information
- Knowledge is power
- Set objectives and rank them
- Be prepared to leave the negotiation
- Try to put yourself in your counterparts position

Prepare and set objectives

The term BATNA is an abbreviation for "*best alternative to a negotiated agreement*".

(Fisher & Ury, 1981)

In preparation for negotiations set three objectives:

1. Worst acceptable outcome (c.f. BATNA)
2. A reasonable (fair) outcome
3. Best possible outcome

Greeting phase

- Create trust
- Don’t underestimate this part
- Get to know your counterpart
- Be interested
- The length of the greeting phase depends upon culture. In Sweden commonly a couple of minutes talking about the weather.

Introduction phase

- Make a summary of the background
- Establish a foundation for cooperation

- If you want to get the negotiation process started, be quiet and see what happens…

- Present the agenda. Try to control the agenda

Introduction phase (cont.)

- Never start with controversial issues
- Try to start with a question that you all can agree upon
- Create a good atmosphere for the negotiation

Argumentation and Compromise phase

- In the argumentation phase arguments to achieve a better deal is presented.
- Try to be balanced and have an open discussion
- Show respect for your counterpart
- Never accept demands one by one. Only agree to a complete and final offer in the compromise phase

Closure phase

- Close the deal in a way that makes both partys feel like winners.
- Summarise the discussion and write down in a protocoll what is agreed upon.

Realisation phase

- An important phase
- When working with complex sales it is now it starts
- A succesful realisation lay the foundation for the next negotiation.

Some general advice

- Listen
- Avoid ultimatums
- Try to keep calm
- Always try to have your counterpart give the first bid
- Never give more than you need to
- Present demands in writing
- Never lie

Why study Intercultural Negotiations?

Negotiations are hard

Globalisation

Dynamics and Volatility

In short – to minimize uncertainty while gaining advantages!

Swedish style

- Structured
- Well prepared
- Formal
- Time is scarce (time is money)
- Focus on current contract, close the deal

- Sweden according to Hofstede (2001)
  - High individualism
  - Low power distance
  - Low masculinity

Chinese style

- Respect to elder, experience wisdom
- Guanxi – relationships
- Mianzi – face
  - Give face
  - Lose face
- Bao – reciprocity
- Time is abundant
- China according to Hofstede (2001)
  - High collectivism
  - High power distance
  - High masculinity

Adapt or not?

When in Rome?

Research here is inconclusive (Brett & Okumura, 1998; Francis, 1991; Liu et al, 2012; Thomposon, 2012)

Advice

Be curious!

- Try to understand norms and cultures.
- Ask questions to ensure you understand the counterpart

Be careful – stereotyping can be dangerous

Acknowledge and respect differences

- Both on individual and societal level



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